In addition to inflation, however, a central bank has to pay attention to financial stability. This is a secondary objective, but it may become central if the economy enters a low-inflation credit and asset price boom. Financial stability sometimes means regulators, including the central bank, have to go against popular sentiment. The role of regulators is not to boost the Sensex but to ensure that the underlying fundamentals of the economy and its financial system are sound enough for sustainable growth. Any positive consequences to the Sensex are welcome but are only a collateral benefit, not the objective.

Finally, India will, for the foreseeable future, run a current account deficit, which means we will need net foreign financing. The best form of financing is long-term equity, that is, Foreign Direct Investment (FDI), which has the additional benefit of bringing in new technologies and methods. While we should not be railroaded into compromising India's interest to attract FDI – for example, the requirements to patent a medicine in India are perfectly reasonable, no matter what the international drug companies say – we should ensure policies are transparent and redress quick. If we make it easier for young Indian companies to do business, we will also make it easier for foreign companies to invest, for after all both are outsiders to the system. This means a transparent and quick legal process to deal with contractual disputes, and a proper system of bankruptcy to deal with distress. Both are issues the government has taken on.

Let me turn finally to the international framework.

4. WORK TOWARDS A MORE OPEN AND FAIR GLOBAL SYSTEM

As a country that does not belong to any power bloc, and that does not export vital natural resources but is dependent on substantial commodity imports, India needs an open, competitive and vibrant system of international trade and finance. Our energy security, for